

EQUITY RESEARCH REPORT

Dabur India Limited

NSE: DABUR | BSE: 500096 | Sector: FMCG – Ayurveda & Natural Health Care

Prepared using company financial data (FY2017–FY2026, standalone) and current market data

Report date: 16 July 2026

About the Company

Dabur India Limited, founded in 1884 by Dr. S. K. Burman and headquartered in Ghaziabad, Uttar Pradesh, is one of India's leading FMCG companies and the world's largest Ayurvedic and Natural Health Care company. Its portfolio spans more than 250 herbal and Ayurvedic products across Healthcare, Home & Personal Care, and Food & Beverages, and the company estimates that 8 out of every 10 Indian households use at least one Dabur product.

The company's operating segments are organised as Consumer Care, Foods, Retail and Others, with five flagship brand identities anchoring the portfolio: Dabur (the master brand for natural healthcare), Vatika (premium personal care), Hajmola (digestives), Real (fruit juices and beverages) and Fem (skin care). Dabur also owns Badshah Masala (spices, acquired 2022) and has a growing international footprint spanning 120+ countries with manufacturing operations across eight countries, including subsidiaries such as Namaste Laboratories (US), Hobi Kozmetik (Turkey), and operations across the Middle East, Africa, the UK and South Asia.

Dabur is listed on the NSE (DABUR) and BSE (500096) and is led by Global CEO Mohit Malhotra.

Market Profile

Metric	Value
Closing price (15 Jul 2026)	₹431
52-week High / Low	₹577.00 / ₹403.35
Market capitalisation	~₹76,800 Cr
P/E (TTM, consolidated)	~50x (range ~40x–52x across sources)
P/B	~10x
Shares outstanding	~177.4 Cr
1-year price return	~ -17%
Promoter holding	66.2%
FII / DII / Public holding	~10.0% / 18.5% / 5.2% (balance in other institutional categories)
Dividend (FY2026, total)	₹8.25 / share

Market data as of 15–16 July 2026, compiled from NSE/BSE-linked market data providers; minor variances exist across data vendors and are indicative rather than exact.

Earnings & Growth – FY2026

On a standalone basis, Dabur's net sales grew 3.4% YoY to ₹9,383 Cr in FY2026, following a marginal 0.7% decline in FY2025. Standalone net profit rose 6.3% YoY to ₹1,491 Cr, with EPS of ₹8.41, recovering from the FY2025 dip (EPS ₹7.92) but still below the FY2024 peak of ₹8.52.

At the consolidated level, full-year FY2026 revenue came in at ₹13,192.6 Cr (+5.0% YoY) with net profit of ₹1,868.7 Cr (+7.4% YoY). Q4 FY2026 alone saw consolidated net profit rise 16% YoY to ₹362 Cr on 7.3% revenue growth, with the India FMCG business growing 9.5% YoY on 6% volume growth. The Board declared a final dividend of ₹5.50 per share, taking the total FY2026 dividend to ₹8.25 per share.

Growth was led by the Home & Personal Care (HPC) segment (~51% of domestic revenue, +16.8% YoY in Q4), with hair oils (+28%) and toothpaste (+7–14%) as standout categories. Management also cited the GST rate rationalisation as a tailwind, roughly 86% of Dabur's portfolio now sits in the 5% GST slab expected to support affordability and volume growth into FY2027.

Operating Margin & EBITDA

Particulars (₹ Cr, standalone)	FY2022	FY2023	FY2024	FY2025	FY2026
Net Sales	8,180	8,684	9,136	9,071	9,383
EBITDA	1,734	1,701	1,840	1,708	1,781
EBITDA Margin	21.2%	19.6%	20.1%	18.8%	19.0%
Depreciation	160	188	209	251	261
EBIT	1,574	1,513	1,631	1,457	1,520

Standalone EBITDA margin has compressed by roughly 220 bps since FY2022, reflecting input cost inflation, a prolonged rural demand slowdown and elevated advertising/promotion spend to defend market share. FY2026 shows early signs of stabilisation, aided by GST-led affordability gains and a richer HPC mix, though margins remain below the FY2018–FY2021 range of ~21–22%.

Balance Sheet & Cash Flow – Standalone

Particulars (₹ Cr)	FY2022	FY2023	FY2024	FY2025
Total Shareholders' Funds	5,864	6,287	6,915	7,423
Long-Term Borrowings	249	249	499	249
Total Assets	8,592	9,352	10,533	11,005
Cash & Cash Equivalents	136	33	71	133
Current Investments	679	273	1,260	1,628
Debt / Equity	0.09x	0.09x	0.10x	0.04x
Current Ratio	3.72x	3.55x	3.64x	3.59x

Dabur carries very low financial leverage – long-term borrowings are a small fraction of shareholders' funds, and the balance sheet holds a sizeable investment book (current + non-current investments of roughly ₹6,400 Cr by FY2025) alongside modest cash. The company is effectively in a net-cash position. Liquidity is comfortable, with a current ratio consistently above 3.5x and a quick ratio above 3.0x.

Cash Flow (₹ Cr, standalone)	FY2022	FY2023	FY2024	FY2025	FY2026
Cash from Operating Activity	1,320	1,562	1,653	1,623	1,800
Free Cash Flow	1,025	1,173	1,198	1,273	1,600
Dividends Paid	972	921	966	975	1,400
Interest Coverage Ratio (ICR)	91.3x	37.0x	22.7x	17.1x	—

Operating cash flow and free cash flow have grown steadily, with FCF up 61% cumulatively from FY2022 to FY2026. Interest coverage has declined sharply from a very high base (as lease liabilities and short-term borrowings increased) but remains comfortable in absolute terms at ~17x. Dividend payments have risen faster than profit, taking the payout ratio close to 100% in FY2025–FY2026.

Business Segments

- Consumer Care (India FMCG) – the largest contributor, spanning Healthcare (health supplements, digestives, OTC & Ayurvedic ethicals – ~30% of India FMCG revenue), Home & Personal Care (hair care, oral care, home care, skin care – the largest and fastest-growing sub-segment), and Foods & Beverages (Real juices, Hommade, Badshah spices – ~22% of India FMCG revenue).
- International Business – present in 120+ countries with manufacturing in eight, contributing roughly a quarter to a third of consolidated revenue. FY2026 saw double-digit growth in the UK, Turkey, Nigeria and Bangladesh, partly offset by geopolitical disruption in Nepal and softness in parts of the Middle East.
- Foods- the Badshah spices business (acquired 2022) and the Homemade cooking-pastes brand, both reporting double-digit growth momentum.
- Retail & Others- includes H&B Stores and smaller emerging/digital-first initiatives, including the newly launched 'Dabur Ventures' (₹500 Cr allocation) targeting new-age, digital-first and premium consumer brands.

Competitive Positioning

Dabur competes in India's crowded FMCG/personal-care space against diversified majors such as Hindustan Unilever (HUL), Colgate-Palmolive (India), Godrej Consumer Products, Marico, Procter & Gamble Hygiene & Health Care, and Emami, as well as an increasing number of D2C and regional Ayurvedic/natural challengers (including Patanjali). HUL remains the clear scale leader by revenue and market capitalisation (several times Dabur's size), while Colgate and Marico are closer in scale within their respective core categories (oral care and hair/edible oils, respectively).

Dabur's key differentiators are its Ayurveda/natural-ingredient positioning (a segment it pioneered and still leads), deep rural distribution reach, category leadership in hair oils, digestives and honey, and a materially larger international revenue base (~25–30% of sales) than most domestic FMCG peers- providing a natural hedge against India-specific demand cycles, partially offset by emerging-market currency and geopolitical risk (as seen in Nepal and the Middle East in FY2026).

Recent news flow: in June 2026 the US FDA issued an import alert relating to a small, private-label section of Dabur's Silvassa manufacturing facility; the company has stated the affected products are an insignificant share of revenue and that the alert has no material impact on overall operations or financials.

Financial Analysis – Standalone Summary (₹ Cr)

Particulars	FY2022	FY2023	FY2024	FY2025	
Net Sales	8,180	8,684	9,136	9,071	
Sales Growth %	13.9%	6.2%	5.2%	-0.7%	
EBITDA	1,734	1,701	1,840	1,708	
EBITDA Margin	21.2%	19.6%	20.1%	18.8%	
Profit Before Tax	1,896	1,829	1,967	1,808	
Net Profit	1,433	1,373	1,509	1,403	
Net Profit Margin	17.5%	15.8%	16.5%	15.5%	
EPS (₹)	8.11	7.75	8.52	7.92	
Dividend Payout %	64%	67%	65%	101%	

Gross margin (per company ratio data) has drifted from ~24.5% in FY2017 to ~19.9% in FY2025, and net profit margin has similarly compressed from ~19% to ~15–16%, consistent with the operating margin trend above. Growth has been volume/premiumisation-led rather than driven by cost leverage, with the FY2025 dip in sales and profit a notable soft patch before the FY2026 recovery.

Return Ratios & DuPont Analysis

Particulars	FY2022	FY2023	FY2024	FY2025
Net Profit Margin	17.5%	15.8%	16.5%	15.2%
Asset Turnover	1.02x	0.97x	0.92x	0.88x
Equity Multiplier (Leverage)	1.37x	1.43x	1.44x	1.41x
Return on Equity (ROE)	24.4%	21.8%	21.8%	18.8%
Return on Assets (ROA)	17.8%	15.3%	15.2%	13.5%
Return on Capital Employed (ROCE, est.)	25.6%	23.0%	21.8%	18.8%

ROE and ROA have declined steadily since FY2022, driven primarily by shrinking net margins and slowing asset turnover, only partly offset by a modestly rising equity multiplier. ROCE (EBIT over average capital employed, estimated from the balance sheet) shows the same downward trend, falling from ~25.6% in FY2022 to ~18.8% in FY2025. While still healthy in absolute terms for a large, low-leverage FMCG business, the returns trajectory indicates moderating capital efficiency that the FY2026 recovery in sales and margin will need to sustain.

Liquidity, Efficiency & Leverage

Particulars	FY2022	FY2023	FY2024	FY2025
Current Ratio	3.72x	3.55x	3.64x	3.51x
Quick Ratio	3.19x	3.09x	3.25x	3.11x
Interest Coverage (ICR)	91.3x	37.0x	22.7x	17.1x
Cash Conversion Cycle (days)	5.0	-1.4	-7.6	-11.2
Days Inventory Outstanding	55.2	51.4	45.9	51.1
Days Payable Outstanding	70.6	76.4	82.3	94.1
Debt to Equity	0.09x	0.09x	0.10x	0.09x

A negative and improving cash conversion cycle from FY2023 onward shows Dabur increasingly funding working capital through supplier credit (days payable stretching from ~71 to ~94) rather than its own cash, a sign of strong bargaining power with vendors and improving operating efficiency - though also a metric to monitor for sustainability. Leverage remains conservative throughout, with debt-to-equity never exceeding ~0.10x.

Valuation

Market snapshot

At the current price of ~₹431, Dabur trades at a TTM P/E of roughly 40x-52x (varying by data source/consolidation basis) and a P/B of ~10x- a meaningful de-rating from the 52-week high of ₹577 (down ~17% over the past year), but still at a premium to its own long-run average and broadly in line with, or slightly below, large-cap FMCG peers,

several of which trade at 40x–58x earnings amid what industry commentary (e.g., KPMG, Jan 2026) has flagged as structurally elevated valuations for India's listed FMCG names (sector median P/E ~58x).

Company (approx., India-listed FMCG)	Indicative TTM P/E
Hindustan Unilever	~32x–53x (source-dependent)
Colgate-Palmolive (India)	~40x–47x
Marico	~45x–50x
Godrej Consumer Products	~45x–55x
Dabur India	~40x–52x
Sector median (large-cap FMCG)	~55x–58x

Peer multiples are approximate, compiled from multiple third-party market-data sources as of mid-2026 and vary by consolidation basis and reporting date; they are indicative of relative positioning only.

Simplified discounted cash flow (illustrative)

The company workbook does not include forward projections, a WACC build-up or share-price inputs, so the DCF below is an illustrative estimate built from standalone free cash flow and a set of transparent assumptions, intended to sanity-check – not replace – the market price.

Assumption	Value
Base FCF (FY2026, standalone)	₹1,648 Cr
Explicit growth (Years 1–5)	8% p.a.
WACC (base case)	9.5%
Terminal growth rate	5.0%
Net cash (non-operating, FY2025 basis)	~₹6,250 Cr
Diluted shares outstanding	~177.4 Cr

On these base-case assumptions, the implied DCF value works out to roughly ₹280–285 per share- well below the current market price of ~₹431. The sensitivity table below shows the WACC/terminal-growth combinations required to justify higher valuations.

WACC \ Terminal Growth	4.0%	4.5%	5.0%	5.5%	6.0%
8.5%	291	318	353	400	466
9.0%	265	286	313	348	394
9.5%	244	261	282	309	342
10.0%	226	240	257	278	304
10.5%	211	223	237	253	274

The gap between the illustrative DCF range (broadly ₹210–₹470 per share across reasonable WACC/growth combinations) and the current price suggests the market is pricing in either materially higher sustained FCF growth than the 8% assumed here, a lower cost of capital, or is placing a brand/moat premium on Dabur's Ayurveda leadership and distribution reach beyond what a conservative cash-flow model captures. This is consistent with the broader observation that large-cap Indian FMCG names, including Dabur, have historically traded at persistent premiums to what standard DCF/comps frameworks would imply.

Key Risks

- Regulatory: the June 2026 US FDA import alert on part of the Silvassa plant, and any escalation in scope, could affect the international/pharma-adjacent business, though management characterises the current impact as immaterial.
- Demand: a prolonged rural or urban consumption slowdown (evident in the FY2025 sales dip) could delay the recovery in volume growth and margins.
- Competitive intensity from HUL, P&G, Colgate, Godrej Consumer, Marico, Patanjali and a fast-growing set of D2C/regional natural-and-Ayurveda challengers.
- Input cost inflation (herbal/agri. raw materials, packaging, crude-linked inputs) and its impact on gross/EBITDA margins.
- International/FX and geopolitical risk – recent disruption in Nepal and softness in parts of the Middle East illustrate the volatility inherent in Dabur's ~25–30% international revenue base.
- Valuation risk: at ~40x–52x trailing earnings, the stock offers limited margin of safety if growth or margin recovery disappoints.

Summary

Dabur remains a financially disciplined, low-leverage FMCG franchise with a differentiated Ayurveda/natural positioning, strong rural distribution and a meaningfully international revenue base. FY2022–FY2025 saw margin and return-ratio compression (EBITDA margin from ~21% to ~19%, ROE from ~24% to ~19%), with FY2026 showing early signs of a turnaround aided by GST-led affordability gains and HPC-segment strength. The balance sheet is conservatively financed with a net-cash position and ample liquidity. At current levels, the stock's premium valuation versus a conservative DCF estimate implies the market is underwriting a durable re-acceleration in growth and margins; investors should weigh this against the demand, regulatory, and competitive risks outlined above.

This report is prepared from the figures in the uploaded Dabur India financial workbook (FY2017–FY2026, standalone basis) together with publicly available market data as of mid-July 2026. It is for illustrative/educational purposes, does not constitute investment advice, and should be read alongside the company's audited financial statements and other primary disclosures. Estimates, sensitivities and peer multiples are approximate and should not be relied upon for investment decisions.